

FEDERAL MARITIME COMMISSION

DOCKET NO. CC-001

MEDITERRANEAN SHIPPING COMPANY—INVESTIGATION FOR COMPLIANCE WITH §§ 41104(a) AND 41102 OF DEMURRAGE OR DETENTION CHARGES UNDER THE CHARGE COMPLAINT PROCEDURES OF 46 U.S.C. § 41310

RESPONSE OF THE OFFICE OF ENFORCEMENT TO RESPONDENT’S PETITION TO FILE SUR-REPLY

By Order to Show Cause (OSC) dated February 3, 2023, the Federal Maritime Commission (Commission) instituted this proceeding and directed Respondent Mediterranean Shipping Company, S.A. (MSC or Respondent) to show cause why the Commission should not order it to refund or waive charges assessed or paid, and/or impose a civil penalty, under 46 U.S.C. §§ 41310(d) and 41107, for failure to comply with 46 U.S.C. §§ 41104(a) and 41102. This proceeding was commenced pursuant to 46 U.S.C. § 41310 and 46 C.F.R. § 502.91, based on information submitted by Complainant SOFi Paper Products. In the OSC, the Office of Enforcement (OE) was named a party to the proceeding. Respondent was ordered to submit its affidavits of fact, memoranda of law, and documentary evidence by February 28, 2023. On February 24, 2023, the Commission received Respondent’s Petition to Dismiss the Charge Complaint and the Order to Show Cause (Petition), and also received the Declaration of Wook Chung in Support of the Petition. OE filed its Response to the Petition to Dismiss, and

Respondent filed its answer to the OSC, on March 3, 2023. On March 27, 2023, OE timely filed its Reply to Respondent's Answer.

On April 13, 2023, Respondents filed a Petition for Leave to File Sur-Reply. OE asserts that Respondent's April 13th Petition is improper under the procedural rules governing this proceeding, is inconsistent with the OSC, and should be summarily denied by the Commission on those grounds. In its Petition, Respondent relies on regulatory provisions from Subpart E of the Commission's Regulations, 46 C.F.R §§ 502.61 through 502.75. However, the OSC specifically states "IT IS FURTHER ORDERED That, pursuant to 46 C.F.R. § 502.10, the Commission hereby waives the provisions of Subparts A - E, I - L and P of Part 502, and all other provisions of the Commission's Rules of Practice and Procedure except as consistent with this Order." OSC at 5. Thus, the Commission has expressly disabled Subpart E, which Respondent relies upon as the basis for its request. This proceeding is instead governed by the Show Cause process pursuant to 46 C.F.R. § 502.91, found within Subpart F of the Commission's regulations.

Policy issues reintroduced in the sur-reply that were previously raised by Respondents in their earlier Petition and Answer, are already before the Commission. To the extent that any new policy issues introduced now by Respondents deserve attention by the Commission, such review will have an opportunity to occur during the penalty phase of this proceeding, should the Commission refer this matter to the Administrative Law Judge for a hearing on the assessment of a civil penalty pursuant to 46 U.S.C. §§ 41107 and 41109.

Further, OE asserts that Respondents have not shown good cause for the significant delay such a petition, if granted, would impose upon this proceeding. Respondents had previous

opportunity to submit the assertions and materials within this sur-reply, as part of their Answer to the OSC.

Because the OSC supersedes the provisions of Subpart A-E, the inappropriate timing of Respondent's submission during the show cause portion of the proceeding, and Respondent's failure to justify additional filings and delays in this proceeding, Respondent's Petition is improper and should be denied.

Respectfully submitted,

**MARYANNE
MUNDY** Digitally signed by
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Julie L. Berestov, Acting Director
Maryanne G. Mundy, Trial Attorney
Office of Enforcement

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 19th day of April 2023, the foregoing Response was served upon Respondent via electronic mail at the following addresses:

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